9 January 2025

Chibougamau Copper-Gold Project, Canada

Cygnus increases highly prospective, under-explored ground position by 50%

Two diamond drill rigs about to arrive on site as part of strategy to grow the resource and test brownfield exploration targets

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HIGHLIGHTS:

- Cygnus has secured additional ground next to its Chibougamau Copper-Gold Project, increasing its total land holding to 282km^2
- The newly staked areas add to a highly prospective land position which has seen limited modern exploration in the past 20 years
- Chibougamau Copper-Gold Project has a Measured and Indicated Mineral Resource of 3.6Mt at 3.0% CuEq and an Inferred Mineral Resource of 7.2Mt at 3.8% CuEq[1]
- The Chibougamau district is a world-class mineral terrane with strong potential for additional discovery; Historical production totals more than 945,000t of copper and 3.5Moz of gold across 16 former producing mines[2]
- Two diamond drill rigs are set to start this week, targeting both resource growth and priority brownfield exploration targets, underpinning strong news flow
- Drilling results are expected imminently from a targeted exploration program completed prior to Cygnus' merger with Doré Copper Mining Corp. (see ASX release dated 2 January 2025)
- The Chibougamau Copper-Gold Project includes a 900,000tpa processing facility – the only milling infrastructure within a 250km radius
- The district also has excellent infrastructure with a local mining town, a modern mining workforce training centre, sealed highway, airport, regional rail infrastructure and 25kV hydro power to the processing site

***Cygnus Executive Chairman, David Southam said*: "Our immediate strategy is to create value through exploration at Chibougamau and we are wasting no time executing this aspect of our plan.**

"Expanding our ground position increases the upside at the project and reflects our strong belief in the immense exploration and resource growth potential.

"All of this newly staked land is adjacent to the high-grade Chibougamau mining camp which has an incredible production record dating back over 65 years, producing almost 1 million tonnes of copper and 3.5 million ounces of gold".

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[1] The Mineral Resource estimate at the Chibougamau Project is a foreign estimate prepared in accordance with CIM Standards. A competent person has not done sufficient work to classify the foreign estimate as a mineral resource in accordance with the JORC Code, and it is uncertain whether further evaluation and exploration will result in an estimate reportable under the JORC Code.

Cygnus Metals Limited (ASX: CY5; TSXV: CYG) ("Cygnus" or the "Company") is pleased to announce that it has expanded its land holding by 50 per cent at the Chibougamau Copper-Gold Project in Quebec, Canada and is about to start drilling.

Cygnus recently completed its transformative merger with Doré Copper Mining Corporation, creating a new leading player in the critical minerals sector with a strategic focus on high-grade copper and lithium assets in Quebec, Canada. A key motivation behind the merger was to advance the Chibougamau Copper-Gold Project which has established high-grade mineral resources of:

Measured and Indicated Mineral Resources of 3.6Mt at 3.0% CuEq and Inferred Mineral Resources of 7.2Mt at 3.8% CuEq (refer to Appendix A)[1]

The multi-pronged value creation strategy has a strong focus on resource growth and brownfield exploration with significant potential for additional discovery in the region. Part of that strategy was to bolster the ground position and provide additional exploration opportunity in a world-class mineral terrane that has historically produced nearly 1Mt of copper and 3.5Moz of gold over a 65 year history.[2] This large and well-endowed mineral system is driven by the central Chibougamau Pluton with the recently acquired ground adding more of this highly prospective geology to the combined project.

The new claims have been acquired at minimal cost to Cygnus, being newly staked and open ground immediately surrounding the existing project, and are principally in the anorthosite band that surrounds the Chibougamau Pluton, which typically host mineral deposits in the Chibougamau mining camp. In total, 174 claims have been staked for 97km^2 taking the combined Chibougamau Copper-Gold Project to 282km^2. This provides an excellent platform to drive growth through exploration in a highly prospective district.

In line with the Company's resource growth strategy, drilling is about to start with two diamond drill rigs. This initial program will focus on resource growth opportunities surrounding some of the existing deposits aiming to build upon the existing high-grade resources. The Company looks forward to a high volume of news flow during 2025 with ongoing drilling updates and results.

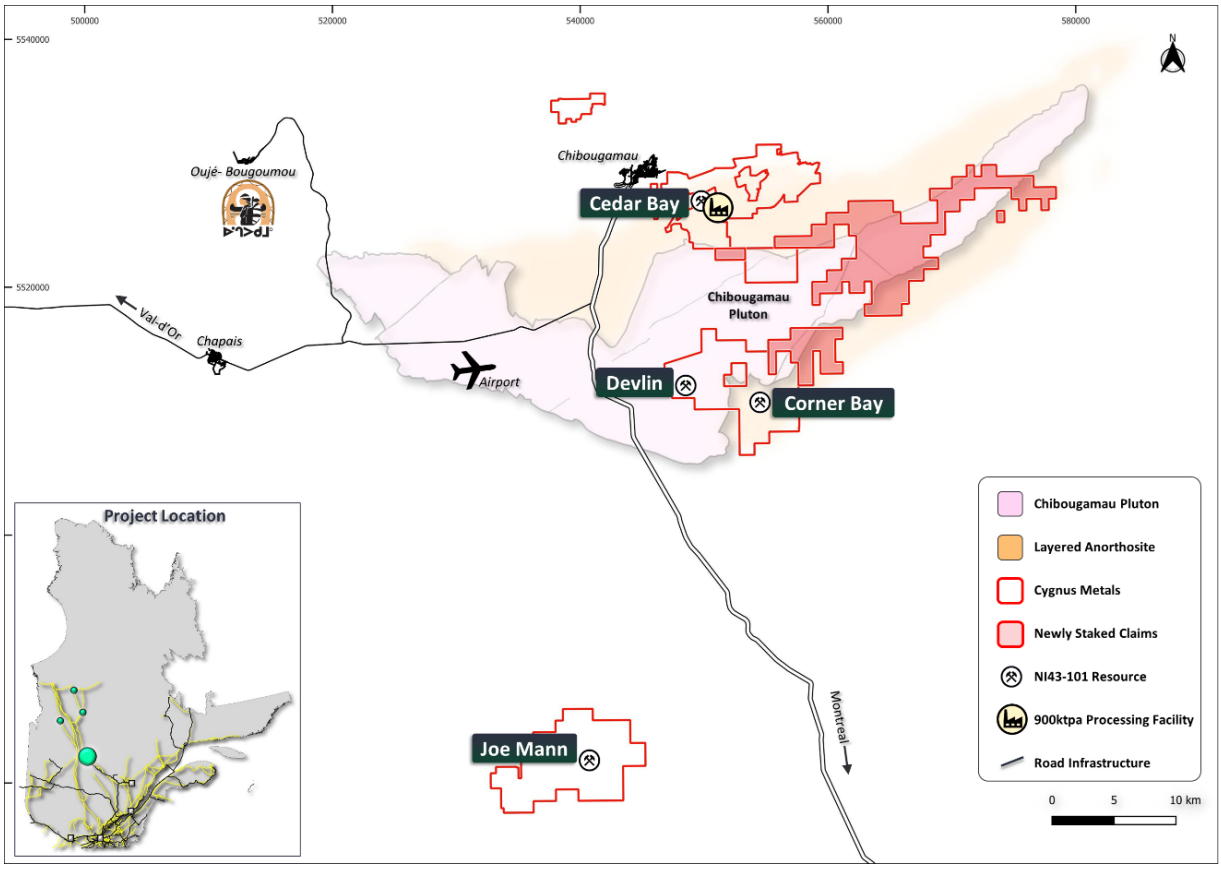

Figure 1: Newly staked ground over the highly prospective Chibougamau Pluton and surrounding anorthositic host rock.

About the Chibougamau Copper-Gold Project

The Project is located in central Quebec, Canada approximately 480km due north of Montreal. The province of Quebec has been recognised as a top ten global mining investment jurisdiction in the 2023 Fraser Institute Annual Survey of Mining Companies. The Project has excellent infrastructure with a local mining town, sealed highway, airport, regional rail infrastructure and access to hydro power via installed powerlines.

The Project is centred on the Chibougamau Pluton with historic production in the Chibougamau mining district of 53.5Mt @ 3.4% CuEq[2] from periodic mining between the early 1900s and 2008. Over this long mining history, the district has produced nearly 1Mt of copper and 3.5Moz of gold from 16 former producing mines.[2]

The Project has high-grade resources including Measured and Indicated Mineral Resources of 3.6Mt at 3.0% CuEq and Inferred Mineral Resources of 7.2Mt at 3.8% CuEq with significant potential to grow (refer to Appendix A).[1]

The Company has a clear strategy to:

- Grow the current resource through brownfield exploration and investment in drilling, modern geophysics and other exploration activities
- Advance the project towards development through study work and utilising existing infrastructure

The Company sees substantial opportunity to create shareholder value by an established high-grade resource with opportunity for growth, excellent infrastructure, 900ktpa processing facility and clear pathway to production, all within a quality endowed mineral terrane that has seen minimal modern exploration.

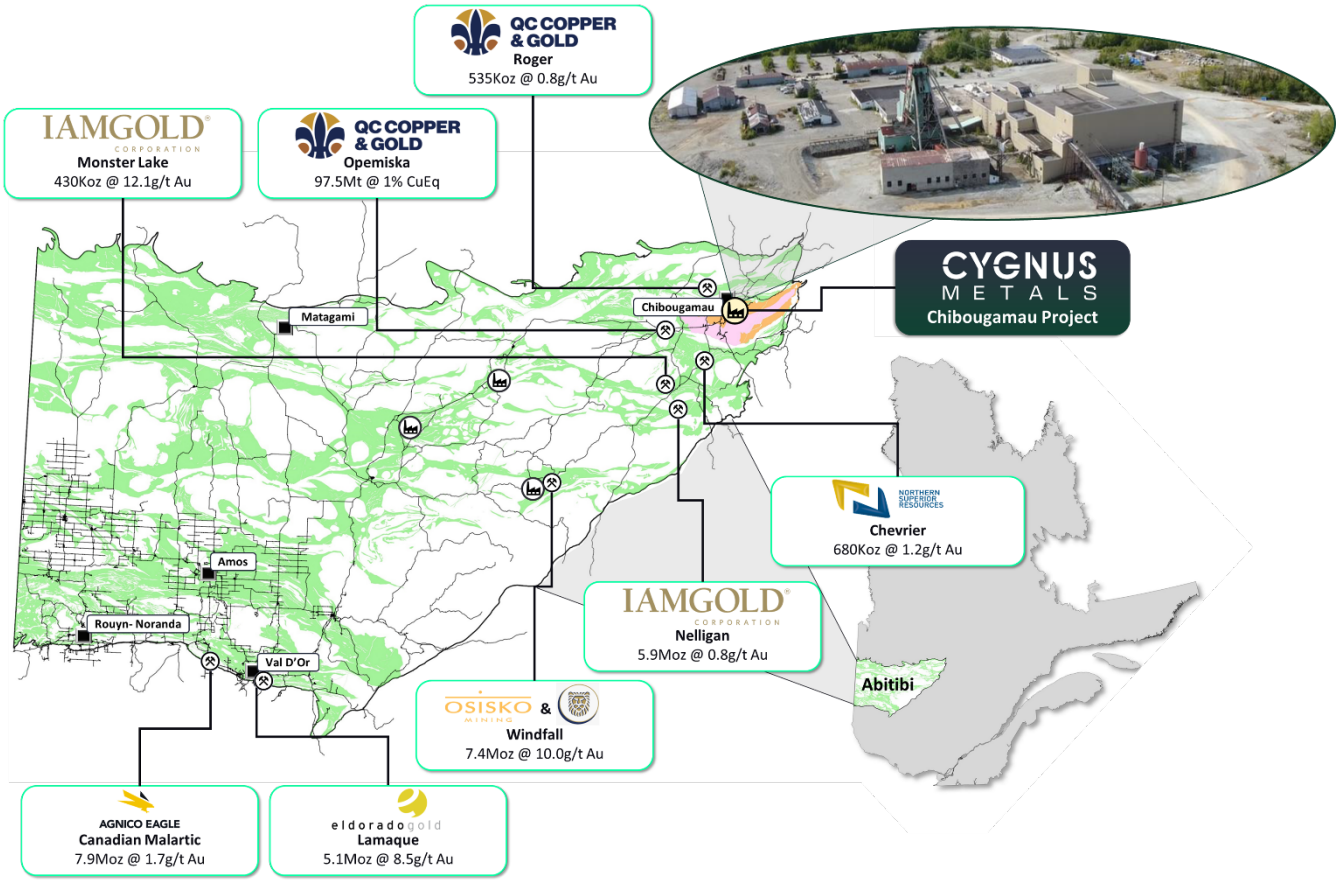

Figure 2: Location of the Chibougamau Project relative to other major deposits and processing facilities.[3]

This announcement has been authorised for release by the Board of Directors of Cygnus.

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About Cygnus Metals

Cygnus Metals Limited (ASX: CY5, TSXV: CYG) is a diversified critical minerals exploration and development company with projects in Quebec, Canada and Western Australia. The Company is dedicated to advancing its Chibougamau Copper-Gold Project in Quebec with an aggressive exploration program to drive resource growth and develop a hub-and-spoke operation model with its centralised processing facility. In addition, Cygnus has quality lithium assets with significant exploration upside in the world-class James Bay district in Quebec, and REE and base metal projects in Western Australia. The Cygnus team has a proven track record of turning exploration success into production enterprises and creating shareholder value.

Forward Looking Statements

This document contains “forward-looking information” and “forward-looking statements” which are based on the assumptions, estimates, analysis and opinions of management made in light of its experience and its perception of trends, current conditions and expected developments, as well as other factors that management of Cygnus believes to be relevant and reasonable in the circumstances at the date that such statements are made, but which may prove to be incorrect. Forward-looking statements include statements that are predictive in nature, depend upon or refer to future events or conditions, or include words such as ‘expects’, ‘anticipates’, ‘plans’, ‘believes’, ‘estimates’, ‘seeks’, ‘intends’, ‘targets’, ‘projects’, ‘forecasts’, or negative versions thereof and other similar expressions, or future or conditional verbs such as ‘may’, ‘will’, ‘should’, ‘would’ and ‘could’. Although Cygnus and its management believe that the assumptions and expectations represented by such information are reasonable, there can be no assurance that the forward-looking information will prove to be accurate. Forward-looking information involves known and unknown risks, uncertainties, and other factors which may cause the actual results, performance or achievements of Cygnus to be materially different from any anticipated future results, performance or achievements expressed or implied by such forward-looking information. Such factors include, among others, the actual results of current or future exploration, changes in project parameters as plans continue to be evaluated, changes in laws, regulations and practices, the geopolitical, economic, permitting and legal climate that Cygnus operates in, as well as those factors disclosed in Cygnus’ publicly filed documents. No representation or warranty is made as to the accuracy, completeness or reliability of the information, and readers should not place undue reliance on forward-looking information or rely on this document as a recommendation or forecast by Cygnus. Cygnus does not undertake to update any forward-looking information, except in accordance with applicable securities laws.

End Notes

1. The Mineral Resource estimate at the Chibougamau Project is a foreign estimate prepared in accordance with CIM Standards. A competent person has not done sufficient work to classify the foreign estimate as a mineral resource in accordance with the JORC Code, and it is uncertain whether further evaluation and exploration will result in an estimate reportable under the JORC Code. Refer to Appendix A for a breakdwon of the Mineral Resource Estimate and a summary of the assumptions.
2. Sources for historic production figures: Economic Geology, v. 107, pp. 963–989 - Structural and Stratigraphic Controls on Magmatic, Volcanogenic, and Shear Zone-Hosted Mineralization in the Chapais-Chibougamau Mining Camp, Northeastern Abitibi, Canada by François Leclerc et al. (Lac Dore/Chibougamau mining camp).
3. For regional resources in Quebec: (a) at Monster Lake and Nelligan, refer to IAMGOLD Corporations’ news release dated 15 February 2024; (b) at Windfall, refer to Osisko Mining’s NI 43-101 Technical Report filed with SEDAR on 10 January 2023; (c) at Canadian Malartic, refer to Agnico Eagle’s 2023 Annual Information Form; (d) at Opemiska, refer to XXIX’s news release dated 8 January 2024; (e) at Roger, refer to the SOQUEM and Enforcer Gold Corp’s NI 43-101 Technical Report dated 9 October 2018; and (f) at Chevrier, refer to Northern Superior Resources’s NI 43-101 Technical Report filed with SEDAR on 7 October 2022.

Qualified Persons and Compliance Statements

The scientific and technical information in this news release has been reviewed and approved by Ms Laurence Huss, the Quebec In-Country Manager of Cygnus, a “qualified person” as defined in National Instrument 43-101 – Standards of Disclosure for Mineral Projects.

The Company first announced the foreign estimate of mineralisation for the Chibougamau Project on 15 October 2024. The Company confirms that the supporting information included in the announcement of 15 October 2024 continues to apply and has not materially changed. Cygnus confirms that it is not aware of any new information or data that materially affects the information included in the original announcement and that all material assumptions and technical parameters underpinning the estimates in the original announcement continue to apply and have not materially changed. Cygnus confirms that its is not in possession of any new information or data that materially impacts on the reliability of the estimates or Cygnus’ ability to verify the foreign estimates as mineral resources in accordance with the JORC Code. The Company confirms that the form and context in which the Competent Persons’ findings are presented have not been materially modified from the original market announcement.

Neither TSX Venture Exchange nor its Regulation Services Provider (as that term is defined in policies of the TSX Venture Exchange) accepts responsibility for the adequacy or accuracy of this release.

APPENDIX A – Chibougamau Copper-Gold Project – Foreign Estimate Disclosures as at 30 March 2022

Deposit	Category	Tonnes (k)	Cu Grade (%)	Au Grade (g/t)	Cu Metal (kt)	Au Metal (koz)	CuEq Grade (%)
Corner Bay (2022)	Indicated	2,700	2.7	0.3	71	22	2.9
	Inferred	5,900	3.4	0.3	201	51	3.6
Devlin (2022)	Measured	120	2.7	0.3	3	1	2.9
	Indicated	660	2.1	0.2	14	4	2.3
	Measured & Indicated	780	2.2	0.2	17	5	2.4
	Inferred	480	1.8	0.2	9	3	2.0
Joe Mann (2022)	Inferred	610	0.2	6.8	1	133	5.5
Cedar Bay (2018)	Indicated	130	1.6	9.4	2	39	8.9
	Inferred	230	2.1	8.3	5	61	8.5
Total	**Measured & Indicated**	**3,600**	**2.5**	**0.6**	**90**	**66**	**3.0**
Total	**Inferred**	**7,200**	**3.0**	**1.1**	**216**	**248**	**3.8**

Notes:

1. Cygnus Metals Ltd cautions that Mineral Resources for the Chibougamau Copper Project, incorporating Corner Bay, Devlin, Cedar Bay and Joe Mann, are reported in accordance with the requirements applying to foreign estimates in the ASX Listing Rules and, as such, are not reported in accordance with the JORC Code (2012 Edition). A Competent Person has not yet completed sufficient work to classify the resources as Mineral Resources that satisfy the guidelines provided in the JORC Code (2012 Edition). It is uncertain that following evaluation and/or further exploration work that the Mineral Resources will be able to be reported as Mineral Resources in accordance with the JORC Code (2012 Edition).
2. All resources have been prepared in accordance with CIM Standards. Please refer to Cygnus' announcement on 15 October 2024 for additional technical information relating to the foreign estimate.
3. The Mineral Resource estimates include Inferred Mineral Resources that are considered too speculative geologically to have economic considerations applied to them that would enable them to be categorised as Mineral Reserves. There is also no certainty that Inferred Mineral Resources will be converted to Measured and Indicated categories through further drilling, or into Mineral Reserves once economic considerations are applied.
4. Numbers may not reconcile precisely due to rounding.
5. Mineral resources have been reported at a cut-off grades of 2.6 g/t Au at Joe Mann, 1.3% Cu at Corner Bay, 2.9 g/t Au at Cedar Bay and 1.2% Cu at Devlin. Mineral Resources at Joe Mann are estimated using a long-term gold price of US$1,800/oz Au, and a metallurgical gold recovery of 83%. Mineral Resources at Corner Bay and Devlin are estimated using a long-term copper price of US$3.75 per pound, and a metallurgical copper recovery of 95%. Mineral Resources at Cedar Bay are estimated using a long-term gold price of US$1,400/oz Au, and a metallurgical gold recovery of 90%.
6. Metal equivalents for the foreign estimate have been calculated at a copper price of US$8,300/t, gold price of US$2,000/oz, silver price of US$25/oz and zinc price of $2,500/t. Copper equivalent was calculated based on the formula CuEq (%) = Cu(%) + (Au (g/t) x 0.77472) + (Ag (g/t) x 0.00968) + (Zn (%) x 0.3012). Metallurgical recovery factors have not been applied at this time to copper equivalents calculation due to variance of geology within the camp and lack of available data. It is the Company's view that all elements in the copper equivalent calculations have a reasonable potential to be recovered and sold.